them sell their holdings without much drop in the price. When you are one of the public and buying on the news, you are liable to be one of the late buyers and prices may start dropping at that point.

So, never ever plan your intraday trades based on the news!

## 2 – Lack of Preparation

We all think getting a specialized degree in a good college is the bare requirement to get a decent job. But when it comes to trading, many people believe they can make money just after attending a trading workshop or watching a YouTube video.

But the reality is different. To succeed in intraday trading, one needs to show persistent effort in one trading concept. Every trade needs to be disciplined and should not be the outcome of your random impulsive thoughts.

A clear trade plan consisting of entry & exit criteria and money management rules should be mandatory before a person starts taking trades in day trading.

## 3 – Trading without Stop-loss

In my trading career, I have never seen anyone who blew up their entire capital through 50 or 100 small losses. But all the traders who lost their whole capital, did it in 3-4 massive blow-ups.

Any trade can only have 5 outcomes:

- A breakeven
- A small profit
- A small loss
- A big profit
- **A BIG LOSS**